INSURANCE AND PENSIONS COMMISSION

FOURTH QUARTER REPORT

FOR

LIFE ASSURERS

FOR THE YEAR ENDED 31 DECEMBER 2015

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

1.0 Table of Contents

2.0 Industry Overview

This report is based on 11 direct players and 2 reassurance companies. The industry reported $334million in Net Written Premiums, a 10% year on year growth with total expenditure of $242million.Prudent cost management continues to be a critical survival tool given limited investment returns prevailing in our market. The life sector, however, realized $92million in technical profit in sympathy with a 73% combined ratio (December 2014:$70million or 77%).For the year under review, total industry assets shrunk by 3% to $1,540billion (December 2014: $1,585billion).

The life industry was statutorily adequately capitalized although players are encouraged to observe asset liability matrices as advised by their actuaries and guidelines from IPEC as a prudential measure (See Table 1, below).

Table 1 : Financial Performance Indicators for Life Companies for the year ended 31December 2014

Item	Life Assurers			Life Reassurers			TOTALS		
	Dec 2014	Dec 2015	Growth	Dec 2014	Dec 2015	Growth	Dec 2014	Dec 2015	Growth
Gross Premiums Written ($000)	**299,633**	**332,014**	11%	10,208	8,765	-14%	309,841	340,779	10%
Net Premiums Written ($000)	**295,671**	**326,639**	10%	7,989	7,136	-11%	303,660	333,775	10%
Total Gross Claims ($000)	**153,536**	**159,704**	4%	3,568	3,318	-7%	157,104	163,022	4%
Total Net Claims ($000)	**153,536**	**159,704**	4%	3,568	3,318	-7%	157,104	163,022	4%
Management Expenses ($000)	**60,289**	**60,960**	1%	1,256	1,413	13%	61,545	62,373	1%
Commissions ($000)	**12,901**	**15,474**	26%	2,420	1,593	-34%	15,321	17,067	11%
Total Costs($000)	**226,726**	**236,138**	4%	7,244	6,324	-13%	233,970	242,462	4%
Technical Profit	**68,945**	**90,501**	31%	745	1,380	85%	69,690	91,881	32%
Expense Ratio (%)	**25%**	**23%**	-2%	46%	42%	4%	25%	24%	-1%
Claims Ratio	**52%**	**49%**	-3%	45%	46%	1%	52%	49%	-3%%
Combined Ratio	**77%**	**72%**	-5%	91%	89%	-2%	77%	73%	4%
Total Assets ($000)	**1,571,169**	**1,525,564**	-3%	13,983	14,186	1%	1,584,552	1,539,750	-3%
Current Assets	**341,225**	**347,322**	2%	5,170	5,588	8%	346,395	352,910	2%
Current Liabilities	**164,178**	**101,928**	38%	1,580	1,618	2%	165,758	103,546	-38%
Total Liabilities ($000)	**1,308,784**	**1,269,723**	-3%	6,676	7,028	5%	1,315,460	1,276,751	-3%
Free Capital($000)	**262,385**	**266,785**	%	**7,307**	**7,158**	-2%	269,092	273,943	2%
Liquidity Ratio	**208%**	**341%**	133%	**327%**	**345%**	18%	209%	341%	132%
Capital to liability Ratio	**23%**	**21%**	-2%	**109%**	**102%**	7%	20%	21%	1%
Prescribed Asset Ratio (%)	3%	10%	7%	1%--	5%	4%	3%	10%	7%

Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report is centered on 11 life assurers. The Commission registered Getsure Life Assurance Company during the year 2015.

4.0 Net Premiums Written

For the year under review, life companies reported $327million in net written premiums, a 10% growth from the prior year (see Table 2,below).

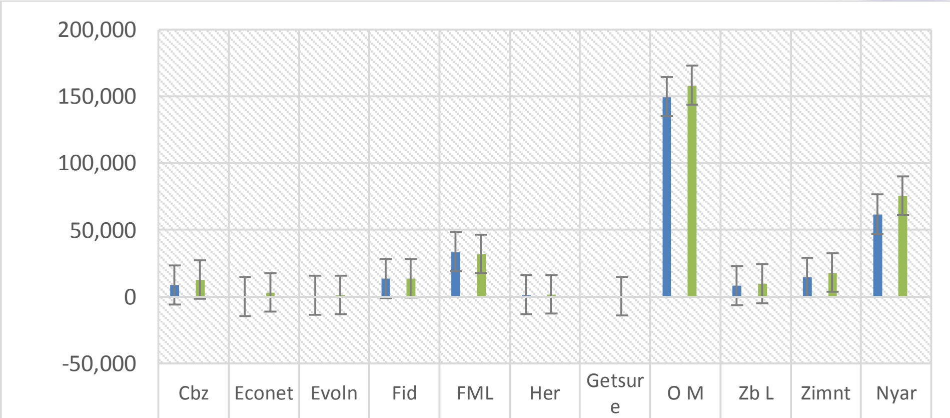
Table2: Net Written Premium Distribution by Company as for the year ended 31 December 2015

Name of Company	NPW (USD)		Growth
	Dec 2014**(000)**	Dec 2015**(000)**	
Altfin	2,697	-	0%
Cbz	8,812	12,766	45%
Econet Life	81	3,012	3619%
Evolution	1,021	1,181	16%
Fidelity	13,608	13,653	0%
FML	33,666	32,178	-4%
Heritage	1,432	1,820	27%
Getsure		263	0%
Old Mutual	149,686	158,397	6%
Zb Life	8,260	9,692	17%
Zimnat	14,667	18,163	24%
Nyaradzo	61,741	75,514	22%
TOTAL	**295,671**	**326,639**	10%

5.0 Market Share for Life Assurance Companies

From the reported figures , 81% or $266million in net premium written was attributable to the top three top companies(Dec 2014:83% or $245million).This shows that business is highly concentrated in favor of the biggest three players(See Table 2 above and Figure 1 below).

Figure 1: Market share by company for the year ended 31 December 2015($000)



	Cbz	Econet	Evoln	Fid	FML	Her	Getsure	O M	Zb L	Zimnt	Nyar
Dec,2014	8,812	81	1,021	13,608	33,666	1,432		149,68	8,260	14,667	61,741
share(%)	3%	0%	0%	5%	11%	0%	0%	51%	3%	5%	21%
Dec,2015	12,766	3,012	1,181	13,653	32,178	1,820	263	158,39	9,692	18,163	75,514
share(%)	4%	1%	0%	4%	10%	1%	0%	48%	3%	6%	23%

6.0 Business Composition

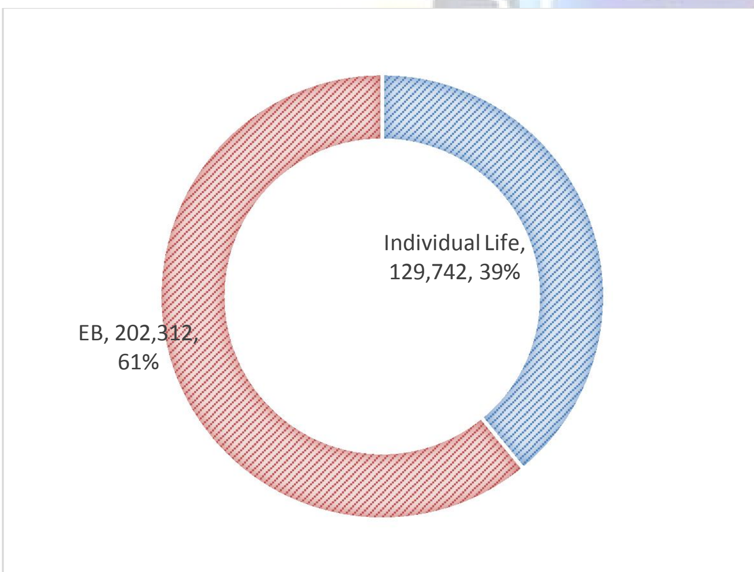
The life assurance industry reportedly wrote $332million in gross premiums. Recurring business was 73% or $243million whilst $89million or 27% was new business.

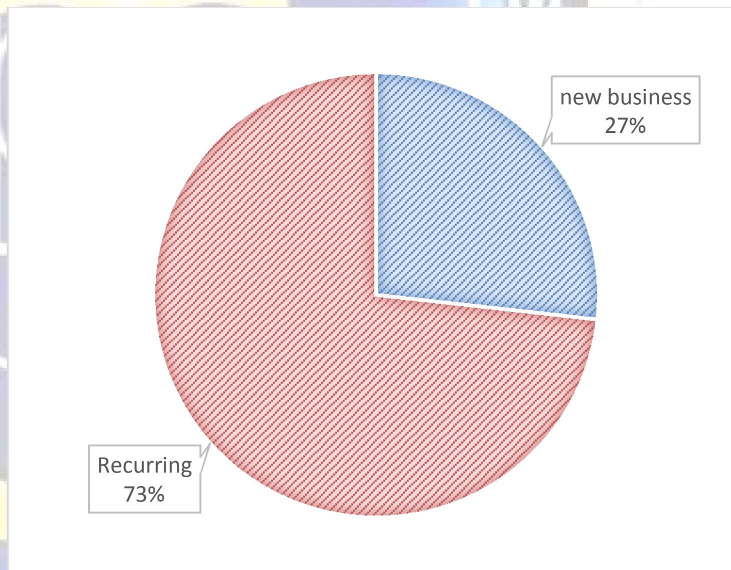
Gross written premiums for employee benefits products contributed 61% or $202million in gross premiums whist the balance of $130 million or 39% was individual lines .Depressed corporate business activity and the resultant growth of the informal sector explains this scenario of shrinking income streams from the business sector(see Table 3 and Figure 2 below).

Table3: Business Composition by Company for the year ended 31 December 2015

Co. Name	Individual Life (000)						Employee Benefits (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Dec 2014	Dec 2015	Growth (%)	Dec 2014	Dec 2015	Growth (%)	Dec 2014	Dec 2015	Growth (%)	Dec 2014	Dec 2015	Growth (%)	Dec 2014	Dec 2015	(%)
Altfin	467	-	0%	-	-	0%	-	-	0%	2,446	-	0%	2,913	-	0%
CBZ Life	103	157	52%	7,179	7,625	6%	-	0	0%	1,852	5,583	201%	9,134	13,365	46%
Econet Life	111	2,058	1754%	-	1,106	0%	-	144	0%	-	0	0%	111	3,308	2880%
Evolution	164	159	-3%	860	1,022	19%	0	0	0%	0	0	0%	1,024	1,182	15%
Fidelity	674	732	9%	5,942	5,343	-10%	0	478	0%	7,324	7,581	4%	13,940	14,134	1%
FML	2,412	2,651	10%	13,077	14,277	9%	6,637	7,413	12%	11,884	8,304	-30%	34,010	32,645	-4%
Heritage	10	832	8220%	1,000	584	-42%	0	0	0%	475	438	-8%	1,485	1,854	25%
Getsure	0	235	0%	0	9	0%	0	11	0%	0	11	0%		265	0%
O. Mutual	3,020	7,345	143%	7,909	11,851	50%	6,006	58,843	880%	133,932	82,756	-38%	150,867	160,795	7%
Zb Life	1,149	1,631	42%	2,159	2,797	30%	208	278	34%	5,283	5,417	3%	8,799	10,123	15%
Zimnat	328	1,895	478%	2,927	2,909	-1%	420	2,508	497%	11,934	11,576	-3%	15,609	18,889	21%
Nyaradzo	1,433	1,410	-2%	42,270	63,134	49%	444	106	-76%	17,594	10,865	-38%	61,741	75,515	22%
TOTAL	**9,871**	**19,105**	94%	**83,323**	**110,657**	33%	**13,715**	**69,781**	409%	**192,724**	**132,531**	-31%	299,633	332,074	11%

Figure 2: Business Composition for the year ended 31 December 2015($000)





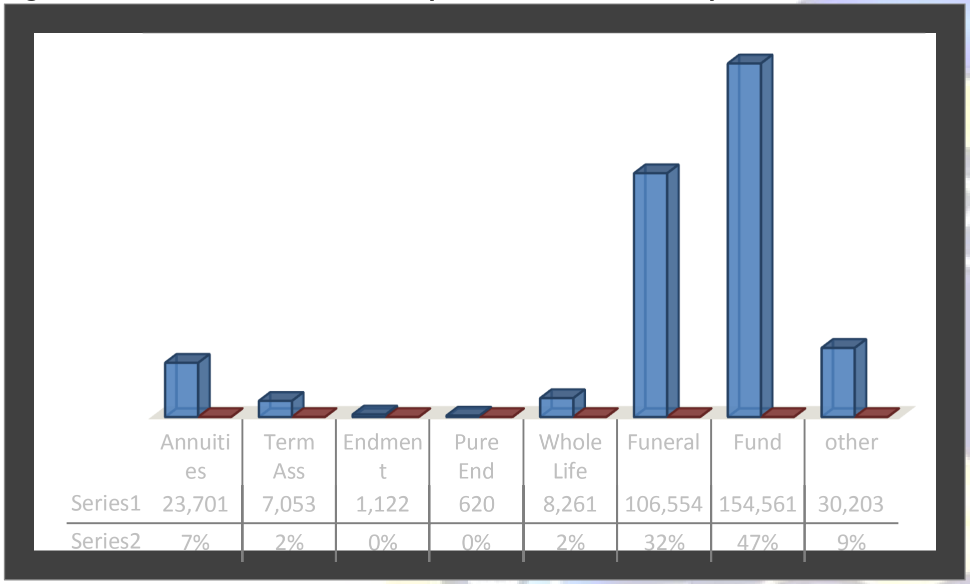
5.2 Business Composition by Class

Fund business contributed 47% (December 2014:49%), group life assurance policies -9%(December 2014:13%) and funeral business-32%(December 2014:29%)of total gross premium written .These top three products accounted for a combined 88% of gross written business .The industry is encouraged to appropriately revamp other savings and or investment products in order to capture largely the uninsured informal sector(See Table 4 and Figure3,below).

Table4: Written Business Classes by Company for the year ended 31 December 2015

Co. Name	Annuities(000)			Term Assurance (000)			Endowment (000)			Pure Endowment (000)			Whole Life (000)			Funeral (000)			Fund Business (000)			OTHER/GLA (000)			Total GPW(000)		
	Dec 14	Dec 15	%	Dec 14	Dec 14	%	Dec 14	Dec 14	%	Dec 14	Dec 15	%	Dec 14	Dec 15	%	Dec 14	Dec 15	%	Dec 14	Dec 15	%	Dec 14	Dec 14	%	Dec 14	Dec 14	%
Alt	341	-	0%	31	-	0%	0	-	0%	-	-	0%	2,515	-	0%	26	-	0%	0	-	0%	-	-	-	2,913	-	0%
CBZ	-	6,653	0%	2,995	25	-99%	702	0	-100%	-	51	0%	0	-	0%	5,436	6,636	22%	0	-	0%	-	-	-	9,133	13,365	46%
Econ	-	0	0%	-	0	0%	-	0	0%	-	0	0%	0	0	0%	111	3,165	2751%	0	144	0%	-	-	-	111	3,307	2879%
Evoln	-		0%	-	-	0%	-	-	0%	-	-	0%	139	130	-6%	390	632	62%	495	420	-15%	-	-	-	1,024	1,182	15%
Fidelity	74	140	89%	4	0	-100%	406	114	-72%	138	184	33%	387	107	-72%	3,319	2,432	-27%	7,324	8,059	10%	-	3,098	-	13,940	14,134	1%
FML	5,337	6,248	17%	1,194	2,394	101%	194	264	36%	0	0	0%	673	887	32%	9,162	8,196	-11%	10,397	8,835	-15%	-	5,821	-	34,011	32,645	-4%
Herit	10	14	40%	0	0	0%	7	0	-100%	100	52	-48%	0	0	0%	894	1,788	100%			0%	-	-	-	1,485	1,854	25%
Getsure	0	0	0%	0	0	0%	0	0	0%	0	0	0%	0	24	0%	0	232	0%	0	0	0%	-	9	-	0	265	0%
O. M	3,205	9,186	187%	0	-	0%	0	0	0%	0	-	0%	4,847	6,106	26%	3,530	4,356	23%	118,786	120,517	1%	-	20,629	-	150,868	160,794	7%
Zb Life	64	52	-19%	151	51	-66%	410	744	81%	116	333	187%	51	18	-65%	356	432	21%	0	8,493	0%	-	-	-	8,798	10,123	15%
Zimnat	306	1,408	360%	4,931	4,583	-7%	0	-	0%	0	0	0%	639	989	55%	2,522	3,170	26%	7,211	8,093	12%	-	646	-	15,609	18,889	21%
Nyaradzo	0	0	0%	0	0	0%	0	0	0%	0	0	0%	0	0	0%	61,741	75,515	22%	0	0	0%		0		61,741	75,515	22%
Total	9,337	23,701	154%	9,306	7,053	-24%	1,719	1,122	-35%	354	620	75%	9,251	8,261	-11%	87,487	106,554	22%	144,213	154,561	7%	-	30,203	-	299,633	332,075	11%

Figure 3: Gross Written Premium by Product Class for the year ended 31 December 2015



5.2.1 Not-taken Up policies and Lapsed Policies

For the year under review, players recorded not –taken- up policies amounting to$0,461million(December 2014:$0.472million).Lapse ratios were reportedly in the thresholds of up to 35%(see Table 5,below).

Table5: Lapses and Not Taken up Policies by Company for the year ended 31 December 2015

Co. Name	Not taken up policies(000)		Lapse Ratios	
	Individual	Group	Individual	Group Business
Altfin				
CBZ Life	4	0	2	0
Econet Life	144	0	30	0
Evolution	0	0	28	0
Fidelity	0	0	0	0
FML	66	0	0	0
Heritage	0	0	0	0
Getsure	9	0	1	0
O. Mutual	0	0	6	0

Zb Life	247	0	15%	0
Zimnat	0	0	0	0
Nyaradzo	0	0	35	19
TOTAL	461	0	N/A	N/A

7.0 Claim Analysis

For the year under review, life companies paid $159million in net claims .The Industry's total claims ratio was 46% similar to the previous reporting period (See Table 6,below and Table 2,above)

Table6:Claims Categories by Company for the year ended 31 December 2015

Co. Name	Death(000)	Maturity(000)	Disability(000)	Surrenders(000)	Refunds(000)	Annuities	Total Claims
Altfin	-	-	-	-	0	0	-
CBZ Life	2,324	0	58	0	443	0	2,825
Econet Life	458	0	0	0	162	0	620
Evolution	110	0	0	0	0	0	110
Fidelity	1,308	0	0	59		194	1,561
FML	4,403	5,191	0	3,590	0	0	13,184
Heritage	266	4	-	37	12	0	319
Getsure	0	0	0	0	0	0	0
O. Mutual	13,206	33,974	234	48,841	0	13,528	109,783
Zb Life	2,079	173	0	2,261	0	28	4,541
Zimnat	2,933	5,033	0	58	0	0	8,024
Nyaradzo	18,787	-	-	-	0	0	18,737
Total	45,874	44,375	**292**	54,846	**617**	13,750	**159,704**

7.0 Claims Aged Analysis

Total outstanding claims amounted to$3.4million in the year under review. Prompt claims payment is a source of competitive advantage in our sector and offsite and onsite checks will include this critical aspect (See Table 7).

Table 7 : Claims Aged Analysis by Company for the year ended 31 December 2015

Co. Name	>30days($000)	31-60days($000)	61-90days($000)	91-120days($000)	<121 days plus ($000)	Total($000)
Altfin	-	-	-	-	-	-
CBZ Life	7	1	1	2	3	14
Econet life	458	0	0	0	0	458
Evolution	0	0	0	0	0	0
Fidelity	814	86	23	7	31	961
FML	595	125	-	-	508	1,229
Heritage	0	0	0	0	0	0
Getsure	0	0	0	0	0	0
O. Mutual	0	0	0	0	89	89
Zb Life	58	42	72	131	299	603
Zimnat	0	0	0	0	0	0
Nyaradzo	-	-	-	-	-	-
Total	1,932	254	96	140	930	3,354

8.0 Debtors Aged Analysis

The debtors book of life companies amounted to $9million(December 2013:$7million),a 29% growth from the previous year .Given a gross premium figure for the current review period of $300million, the average premium collection rate was 97%(December 2013:97%)(see Table 8,below).

Table 8 : Debtors Aged Analysis by Company for the year ended 31 December 2015($000)

Co. Name	>30days($000)	31-60days($000)	61-90days($000)	91-120days($000)	<121 days plus ($000)	Total($000)
Altfin	-	-	-	-	-	-
CBZ Life	382	199	20	0	0	601
Econet life	0	0	0	0	0	0
Evolution	34	25	33	35	612	739
Fidelity	193	134	103	10	2,458	2,888
FML	199	95	326	0	0	620
Heritage	172	86	16	370	0	644
Getsure	0	0	0	0	0	0
O. Mutual	803	0	0	0	52	855
Zb Life	0	0	0	0	0	0
Zimnat	0	0	0	0	0	0
Nyaradzo	0	0	0	0	0	0
Total	1,783	539	498	415	3,122	6,347

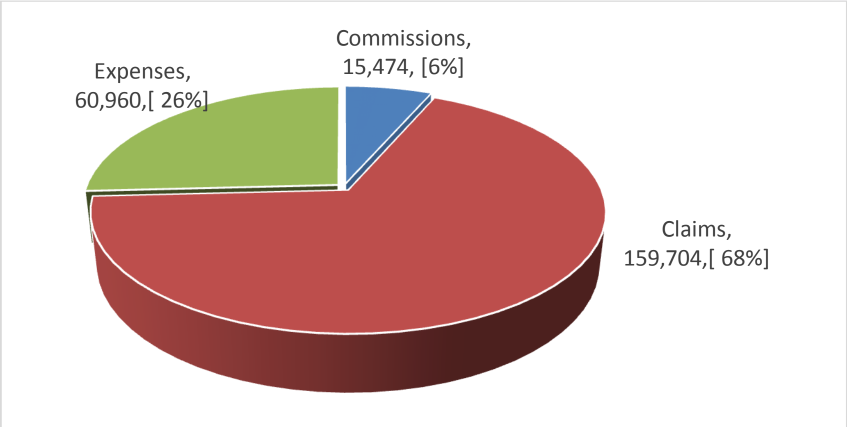
9.0 Earnings

For the year under review , administration expenditure accounted for 26% or $61million of total costs (December 2014:26% or $60million),claims-68% or $160million(December2014:68% or $154million)whilst commission was 6% or $15million(December 2014: 6% or $13million).This culminated in a 72% combined ratio(December 2014: 77%)(See Table 9, below).

Table 9: Key Income and Cost Indicators By Company for the year ended 31 December 2015

Co. Name	NPW(000)		Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	Dec 2014	Dec 2015	Dec 2014	Dec 2015	Growth	Dec 2014	Dec 2015	Growth	Dec 2014	Dec 2015	Growth	Dec 2014	Dec 2015	Growth	Dec 14	Dec 2015	
Altfin	2,697	-	764	-	0%	268	-		1,447	-	0%	2,479	-	0%	**89%**	-	-
CBZ Life	8,812	12,766	2,330	2,825	21%	1,458	1,619	0%	2,593	3,192	23%	6,381	7,636	20%	**60%**	60%	-
Econet	81	3,012	21	620	2852%	0	19	11%	423	1,849	337%	444	2,488	460%	**-**	82%	*82%*
Evolution	1,020	1,181	92	110	20%	102	157	0%	814	526	-35%	1,008	793	-21%	**126%**	67%	*-59%*
Fidelity	13,608	13,653	1,611	1,561	-3%	208	319	54%	6,130	7,559	23%	7,949	9,439	19%	**67%**	69%	*2%*
FML	33,666	32,178	15,611	13,184	-16%	1,636	1,691	53%	15,933	14,092	-12%	33,180	28,967	-13%	**88%**	90%	*2%*
Heritage	1,432	1,820	224	319	42%	221	189	3%	851	946	11%	1,296	1,454	12%	**85%**	80%	*-5%*
Getsure	0	265	0	0	0%	-	58	-14%	0	604	0%	0	662	0%	**0**	250%	*250%*
O. Mutual	149,686	158,397	99,847	109,783	10%	1,915	2,181	0%	15,141	15,093	0%	116,903	127,057	9%	**71%**	80%	*9%*
Zb Life	8,260	9,692	3,166	4,541	43%	940	1,442	14%	4,507	1,973	-56%	8,613	7,956	-8%	**81%**	82%	*1%*
Zimnat	14,667	18,163	5,431	8,024	48%	1,057	1,362	53%	3,175	3,799	20%	9,663	13,185	36%	**60%**	73%	*13%*
Nyaradzo	61,741	75,515	24,439	18,737	-23%	5,096	6,437	29%	9,275	11,327	22%	38,810	36,501	-6%	**69%**	*48%*	21%
Total	**295,670**	**326,642**	**153,536**	**159,704**	4%	**12,901**	**15,474**	26%	**60,289**	**60,960**	1%	**226,726**	**236,138**	4%	**77%**	**72%**	**-5 %**

Figure 5: Key Cost Indicators By Company for the year ended 31 December 2015(000)



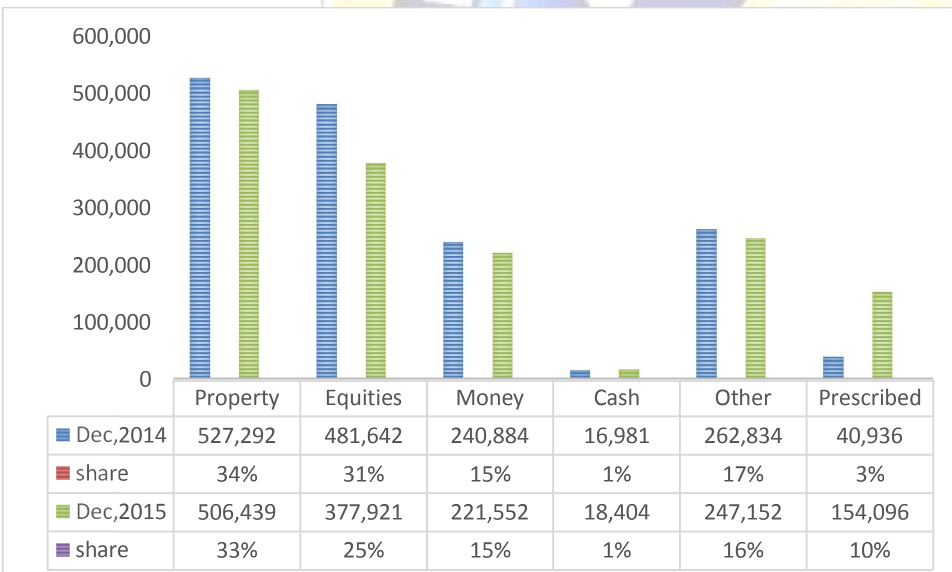
10.Asset Quality

As at 31 December 2015, the life industry's assets were in properties, 33% or $506million (December 2014:34% or $537million}, equities,$378million or 25%(December 2014:31% or$482million), money market, $222million or 15 %(December 2014:15% or $241million), cash assets-$18million or 1% (December 2014:1% or $17million), other assets, $247million or 16 %(December 2014:17% or $263million) and $154million or 10% on prescribed assets (December 2014:3% or $41million) (See Table 10 and Figure 6, below).

Table 10: Life industry Assets as at 31 December 2015

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Dec 2014	Dec 2015	%	Dec 2014	Dec 2015	%	Dec 2014	Dec 2015	%	Dec 2014	Dec 2015	%	Dec 2014	Dec 2015	%	Dec 2014	Dec 2015	%	Dec 2014	Dec 2015	%
Altfin	3,039	-	0%	2,436	-	0%	2,428	-	0%	103	-	0%	900	-	0%	666	-	0%	10,172	-	0%
CBZ Life	315	288	-9%	0	0	0%	9,030	11,646	29%	308	884	187%	739	1,891	156%	1,046	2,665	155%	11,438	17,381	52%
Econet	0	0	0%	0	0	0%	0	1,118	0%	2,030	1,224	-40%	725	545	-25%	152	1,571	934%	2,907	4,458	53%
Evolution	11	428	3791 %	0	1,258	0%	182	173	-5%	(33)	(9)	-73%	3,120	1,325	-58%	100	100	0%	3,380	3,275	-3%
Fidelity	19,402	23,596	22%	6,700	27,584	312%	11,447	3,735	-67%	546	515	-6%	32,403	21,445	-34%	0	20,818	0%	70,498	97,693	39%
FML	0	13,082	0%	24,780	14,572	-41%	3,664	9,881	170%	3,019	3,016	0%	154,355	135,148	-12%	5,007	9,791	96%	190,825	185,490	-3%
Heritage	696	765	10%	1,281	1,273	-1%	43	14	-67%	66	55	-17%	778	1,359	75%	0	0	0%	2,864	3,466	21%
Getsure	0	0	0%	0	0	0%	0	1,631	0%	0	232	0%	0	0	0%	0	340	0%		2,203	0%
O.Mutual	452,408	413,169	-9%	426,157	313,973	-26%	187,521	157,910	-16%	6,688	6,145	-8%	24,533	30,704	25%	27,155	103,908	283%	1,124,462	1,025,809	-9%
Zb Life	3,381	3,014	-11%	7,112	6,444	-9%	2,780	2,806	1%	132	73	-45%	32,774	30,106	-8%	1,151	2,757	140%	47,330	46,200	-2%
Zimnat	16,850	20,290	20%	13,030	12,121	-7%	17,714	17,703	0%	756	1,140	51%	899	6,471	620%	2,957	3,100	5%	52,206	58,545	12%
Naradzo	31,190	31,807	2%	146	696	377%	6,075	14,935	146%	3,366	5,129	52%	11,608	18,158	56%	2,702	9,046	235%	55,087	79,771	45%
Total	527,292	506,439	-4%	481,642	377,921	-22%	240,884	221,552	-8%	16,981	18,404	8%	262,834	247,152	-6%	40,936	154,096	276%	1,571,169	1,525,564	-3%

Figure 6: Life industry Assets as at 31 December 2015(000)



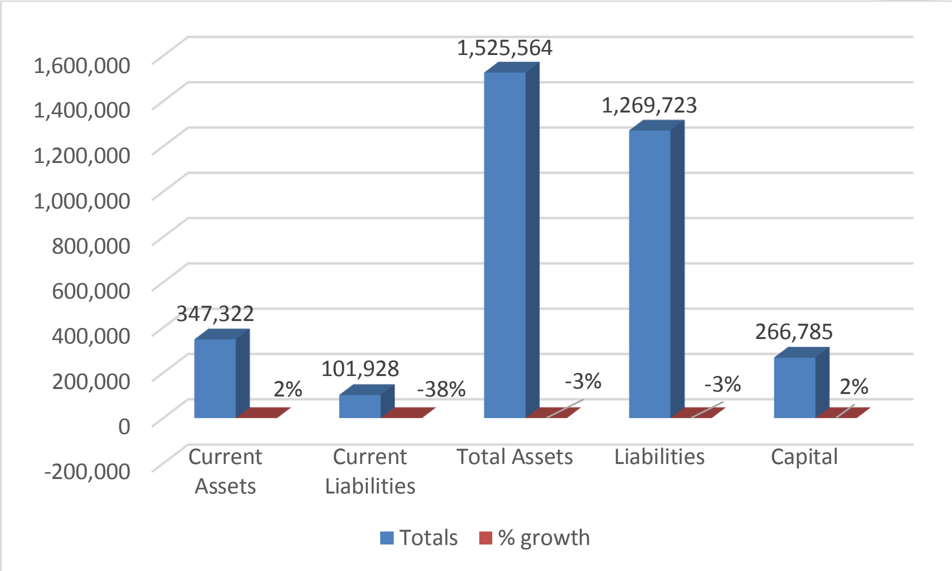
11. Capitalization, Solvency and Liquidity Indicators

Life players were adequately capitalized in excess of $2 000 000 as prescribed by Statutory Instrument 21 of 2013.The industry reported combined capital to liability and liquid ratios of 21% and 341% respectively. Asset liability matrices must remain guided by actuarial advice as well as IPEC investment guidelines (See Table 11,below).

Table 11: Capitalization, Solvency and Liquidity Indicators as at 31 December 2015

Co. Name	Current Assets(000)			Current Liabilities			Total Assets(000)		Total Liabilities (000)			Capital (Net Assets)(000)			Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	Dec 14	Dec 15	%	Dec 14	Dec 15	%	Dec 14	Dec 15	Dec 14	Dec 15	%	Dec 14	Dec 15	%	Dec 14	Dec 14	%	Dec 14	Dec 15	%
Altfin	4,492	-	0%	8,806	-	0%	10,172	-	9,817	-	0%	355	-	0%	4	-	-	51	-	-
CBZ Life	10,633	16,483	55%	1,972	3,662	86%	11,438	17,381	2,884	4,977	73%	8,554	12,404	45%	297	249	-48%	539	450	-89%
Econet	2,111	2,358	12%	59	1,094	1754%	2,907	4,458	59	1,094	1754%	2,848	3,363	18%	4827	307	4520%	3578	216	3362%
Evolution	924	1,209	31%	769	748	-3%	3,380	3,275	949	748	-21%	2,431	2,527	4%	256	338	82%	120	162	42%
Fidelity	44,396	39,420	-11%	26,916	18,626	-31%	70,498	97,693	57,337	97,693	70%	13,161	12,220	-7%	23	13%	-10%	165	212%	47%
FML	13,774	22,348	62%	19,799	17,899	-10%	190,825	185,490	121,746	117,584	-3%	69,079	67,906	-2%	57	58%	1%	70	125%	55%
Heritage	728	1,221	68%	178	614	245%	2,864	3,466	346	777	125%	2,518	2,688	7%	728	346%	-382%	409	199%	210%
Getsure	0	2,049	0%	0	112	0%		2,203	0	112	0%	0	2,091	0%		1867	1867%	-	1829%	1829%
O. M	222,497	198,389	-11%	50,259	45,918	-9%	1,124,462	1,025,809	990,146	903,370	-9%	134,316	122,439	-9%	14	14%	-	443	432	11%
Zb Life	3,472	3,360	-3%	1,774	2,428	37%	47,330	46,200	37,110	30,754	-17%	10,220	15,446	51%	28	50%	22%	196	138%	58%
Zimnat	14,694	13,467	-8%	2,992	3,360	12%	52,206	58,545	37,736	42,021	11%	14,470	16,524	14%	38	39%	1%	491	406	-85%
Nyaradzo	23,504	47,018	100%	50,654	7,467	-85%	55,087	79,771	50,654	70,593	39%	4,433	9,177	107%	9	13%	4%	46	630%	584%
Total	341,225	347,322	2%	164,178	101,928	-38%	1,571,169	1,525,564	1,308,784	1,269,723	-3%	262,385	266,785	2%	23	21%	-2%	208	341%	133%

Figure7: Capitalization, Solvency and Liquidity Indicators as at 31 December 2015


1,600,000
1,400,000
1,200,000
1,000,000
800,000
600,000
400,000
200,000
0
-200,000
1,525,564
1,269,723
347,322
266,785
101,928
2%
-38%
-3%
-3%
2%
Current Assets
Current Liabilities
Total Assets
Liabilities
Capital
Totals
% growth

Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is based on 2 players.

2.0 Business Written

Table 1 below, shows that reinsurers recorded an 11% drop from $7.99million last year to the current $7.1million.Given depressed local demand for insurance products ,re-insurers are encouraged not only to lead in new products development but also maximize on their cross border income streams.

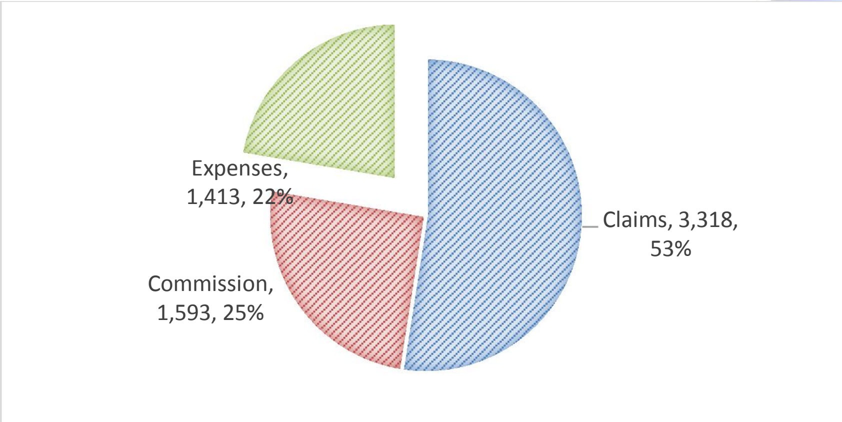
Table 1: Key Performance Indicators for the year ended 31 December 2015(000)

Item	Baobab Re			FM Re			Total		
	Dec-14	Dec-15	%	Dec-14	Dec-15	%	Dec-14	Dec-15	%
Gross Premium Written	5,483	5,136	-6%	4,725	3,629	-23%	10,208	8,765	-14%
Net Premium Written	4,452	4,152	-7%	3,537	2,984	-16%	7,989	7,136	-11%
Gross Claims	1,806	1,218	-33%	1,762	2,100	19%	3,568	3,318	-7%
Net Claims	1,806	1,218	-33%	1,762	2,100	19%	3,568	3,318	-7%
Net Commission	1,314	961	-27%	1,106	632	-43%	2,420	1,593	-34%
Management Expenses	750	877	17%	506	536	6%	1,256	1,413	13%
Total Costs	3,870	3,056	-21%	3,374	3,268	-3%	7,244	6,324	-13%
Underwriting Profit	582	1,096	88%	163	284	74%	745	1,380	85%
Combined Ratio	87%	74%	-13%	95%	110%	15%	91%	89%	-2%

3.0 Earnings

For the current reporting periods, total expenditure grew by 13% whilst net premium written contracted by 11%. Reinsurers realized $1.4million in underwriting profit and a combined ratio of 89%. The cost distribution was made up of Claims-$3.3million or 56%,Commission -$1.6million or 25% and management expenses-$1.4million or 22%(See Table 1 and Figure 1 below).

Figure 1: Cost Drivers for the Reassurers for the year ended 31 December 2015



4.0 Capitalization and Solvency

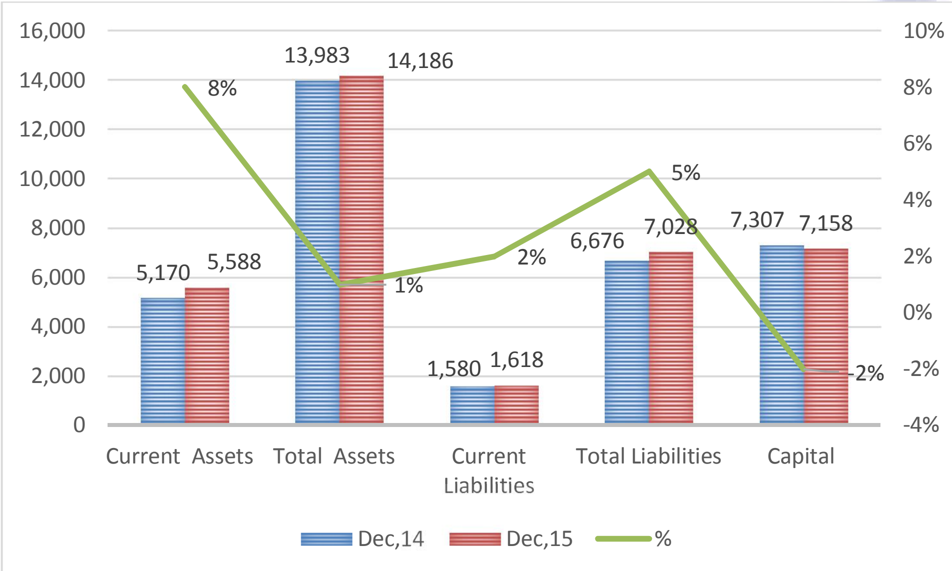
As the report date, FMLRe Life and Health was non-compliant with the new minimum capital requirements in line with Statutory Instrument 21 of 2013.However they have applied for authority to merge FMLRE Property and Casualty Limited.

The industry reported a current ratio of 345% and a capital to liability ratio of 102%.In the medium to long term,institutions will be required to hold capital which matches their liabilities in line with emerging best practices in addition to regulatory capital(See Table 2, below).

Table 2: Capitalization ,Solvency and Liquidity Indicators as at 31 December 2015(000)

Item	Baobab Re			FM Re			Total		
	Dec-14	Dec-15	%	Dec-14	Dec-15	%	Dec-14	Dec-15	%
Current Assets	3,196	4,139	30%	1,974	1,449	-27%	5,170	5,588	8%
Total Assets	11,305	12,167	8%	2,678	2,019	-25%	13,983	14,186	1%
Current Liabilities	735	777	6%	845	841	0%	1,580	1,618	2%
Total Liabilities	5,112	6,050	18%	1,564	978	-37%	6,676	7,028	5%
Capital	6,193	6,117	-1%	1,114	1,041	-7%	7,307	7,158	-2%
Prescribed Assets	180	711	295%	-	-	-	180	711	295%
Prescribed asset Ratio	2%	6%	4%	0	0	-	1%	5%	4%
Current Ratio	435%	539%	104%	234%	172%	-62%	327%	345%	18%
Capital to liability ratio	121%	101%	20%	71%	106%	35%	109%	102%	7%

Figure 2: Capitalization ,Solvency and Liquidity Indicators for the year ended 31 December 2015.



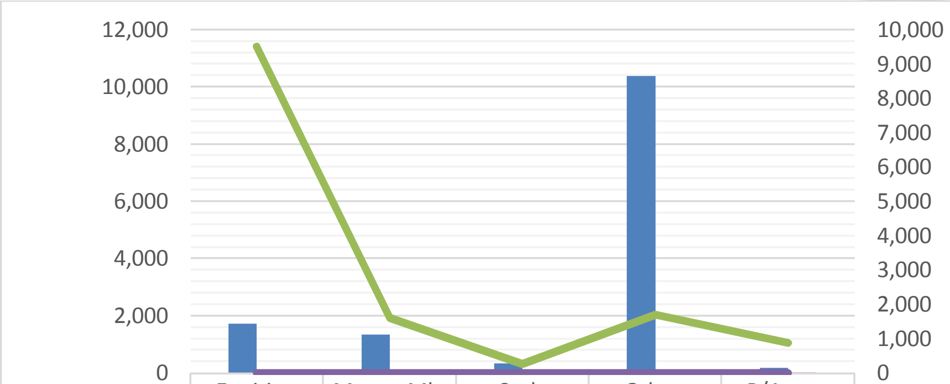
5.0 Asset Quality

As at 31 December 2015, reinsurers' assets were invested in equities - 73% or \$9,5million, money- 12% or \$1,6million,Cash-2% or \$0,26million and 13% or \$1,7million which was invested in other investments. A 6% Prescribed Asset Ratio was reported. Reinsurers must be guided by actuarial input and statutory guidelines in order to achieve the right asset- liability mix (See Table 3 and Figure 2, below).

Table3: Total Assets for Reassurers for the year ended 31 December 2015

Asset Type	Baobab Re			FM Re			Total		
	Dec-14	Dec-15	%	Dec-14	Dec-15	%	Dec-14	Dec-15	%
Fixed Property (000)	0	0	-	0	0	-	0	-	-
Equities (000)	1,069	8,970	739%	661	535	-19%	1,730	9,505	449%
Money Market (000)	635	637	0%	720	970	35%	1,355	1,607	19%
Cash (000)	196	186	-5%	134	72	-46%	330	258	-22%
Other Investments (000)	9,226	1,663	-82%	1,163	35	-97%	10,389	1,698	-84%
Prescribed Assets	180	711	295%	0	163	0%	180	874	386%
Total Assets (000)	**11,306**	**12,167**	8%	**2,678**	**1,775**	-34%	13,984	13,942	0%

Figure 2: Total Assets for Reassurers for the year ended 31 December 2015

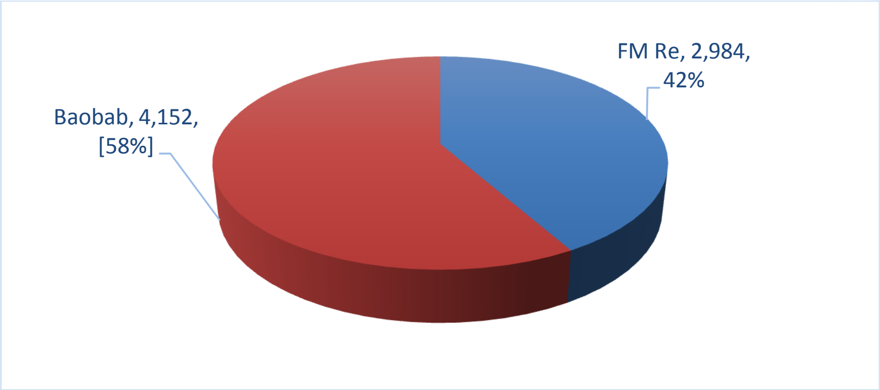


	Equities	Money Mkt	Cash	Other	P/Assets
Dec,14	1,730	1,355	330	10,389	180
%Share	12%	10%	2%	74%	1%
Dec,15	9,505	1,607	258	1,698	874
%Share	68%	12%	2%	12%	6%

6.0 Market Share

As shown below, Baobab Life commanded 58% of the market share with the FM Re Life and Health getting the balance. Players are encouraged to compete mainly on product innovation and service provision to stimulate the depressed local demand. (See Figure 3,below).

Figure 3: Market share by Gross Premium Written For Reassurers for the year ended 31 December 2015(000)



7.0 Prescribed Assets

The Table below illustrates prescribed paper in the market which players should subscribe to in a continuous process to comply with the Insurance Act on government paper.

Issuer	Application Year	Purpose of Issue	Bond Amnt and coupon rate	Amount raised	Uptake Ratio	Current status
Afreximbank	2015		$100million	Approved on 08 Jan 2015. No update on amount raised and uptake ratios	To Be Advised (TBA)	Open
ZPC KSPS	2014	To support the energy sector	$50million at 8%	$25.05 million raised to date	50%	Open
Agribank and FBC	2015	Support the 2015/2016 agricultural season	$10million at a coupon rate of 10%p.a	Initial application of US$10million approved on the 09th of September 2015. Second application of $10million approved on the 06 November 2015. The total amount is now $20milion	TBA	Open

Agricultural Marketing Authority (AMA Bills)	2015	Finance the purchase of grain by the Grain Marketing Board	$50million at a coupon rate of 10.5%p.a	Application approved on the 11th of Sep 2015	TBA	Open
ZB Agro Bills	2015	Support the 2015/2016 agricultural season	$5million at 8%p.a coupon rate	Application approved on the 30th of Sep 2015.	TBA	Open
Homelink	2015	Development of stands and construction of housing units	Initial bond amount of $15m. However the applicant is targeting to raise $50million to complete the project.	Application approved	TBA	Open